BERNSTEIN
SOCIETE GENERALE GROUP

Global Energy Storage

Quick Take: Global Energy Storage: China announces consumption tax on batteries - Implications

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China has announced the introduction of a consumption tax on the lithium-ion battery industry after an 11-year exemption. Starting from September 1, 2026, a 2% consumption tax will be levied on lithium-ion batteries at the cell level. The tax rate will subsequently double to 4% beginning September 1, 2027. To prevent double taxation within the supply chain, batteries produced for internal use in the continuous production of other taxable battery products will be exempt, and taxes paid on externally purchased batteries used in continuous production can be deducted.

The impact on battery pack price will be relatively small but nevertheless will raise costs. Current battery prices for LFP and NMC are US$54.8/kWh and US$66.2/kWh respectively. While the increase in tax will raise the cost of battery cells by 2% (2026) and 4% by 2027, at the pack level the increase in costs will be 1% (2026) and 3% (2027) by 2027. For ESS systems the new tax will increase the cost by 1-2% by 2027 which should limit the demand impact.

Sodium ion and solid-state batteries will be exempt from the new consumption tax. The new tax covers all conventional lithium-based battery technology including LFP batteries, nickel-based batteries, and vanadium redox flow batteries. Emerging battery technologies such as sodium-ion batteries, solid-state batteries, and fuel cells will remain entirely exempt from the consumption tax through the end of 2028 and possibly beyond. We expect that by 2030, roughly 10-20% of total battery production in China will be solid state or sodium-ion.

Battery exports will be unaffected by the new consumption tax. The consumption tax will only apply to domestic sales and not levied on imports. Currently, around 20% of total battery production in China is exported and will be impacted by the new tax.

While the policy could negatively impact demand or margins for the industry, it is aimed at curbing overcapacity as part of China's broader anti-involution policies and encouraging new technologies. The China battery industry is plagued by overcapacity at the Tier 2 level. Battery makers will either have to absorb this cost or pass on to OEM's. For Tier 2 battery makers on wafer thin margins, this policy is intended to curb excessive capacity expansion. It will also be a strong signal to encourage a shift towards battery technologies of the future, namely sodium-ion and solid state which are both on the cusp of large-scale commercialization.

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On 16 July 2026, China's Ministry of Finance, General Administration of Customs, and State Taxation Administration issued Announcement No. 20 of 2026, introducing a phased consumption-tax regime for certain battery products. The policy primarily affects batteries produced, processed, sold, imported, or used domestically in China. Details o the impact on battery pricing is shown below.

EXHIBIT 1: **Price & change for LFP and NMC under different tax rate**

	Cell level (USD/kWh)			Package level(USD/kWh)		
	Current	Post tax 2%	Post tax 4%	Current	Post tax 2%	Post tax 4%
LFP	54.8	55.9	57.0	79.3	80.4	81.5
NMC	66.2	67.5	68.8	101.5	102.8	104.1
	Price chage (USD/kWh)			Price change (USD/kWh)		
LFP		1.1	2.2		1.1	2.2
NMC		1.3	2.6		1.3	2.6
	% of change			% of change		
LFP		2%	4%		1%	3%
NMC		2%	4%		1%	3%

Source: Baiinfor, Bernstein analysis and estimates

KEY TAX-RATE CHANGES

From 1 September 2026, the following battery products will be subject to a 2% consumption tax:

- Lithium-ion rechargeable batteries;(LFP and NMC)
- Primary lithium batteries;
- Mercury-free primary batteries;
- Nickel-metal hydride batteries;
- Vanadium redox-flow batteries.

The tax rate for these products will increase from 2% to 4% on 1 September 2027.

TEMPORARY EXEMPTIONS FOR EMERGING TECHNOLOGIES

China will continue to exempt the following products from consumption tax from 1 September 2026 through 31 December 2028:

- Sodium-ion batteries;
- Solid-state batteries;
- Fuel cells;
- Perovskite photovoltaic cells;
- Tandem photovoltaic cells;
- Gallium-arsenide photovoltaic cells.

The announcement does not specify the tax treatment of these emerging technologies after 31 December 2028.

CONDITIONS FOR CLAIMING AN EXEMPTION

The exemptions are not automatic. Battery products manufactured or processed under commission must comply with the applicable Chinese national standards. Products that do not meet the relevant national standard—or for which no national standard exists—cannot qualify for the preferential treatment.

Before filing the first consumption-tax exemption claim, a taxpayer must obtain a product testing report from a qualified testing institution. The institution must hold a valid CMA-accredited Inspection and Testing Institution Qualification Certificate, and its approved testing scope must include the relevant battery-testing items.

DEDUCTION FOR TAX ALREADY PAID ON BATTERY INPUTS

Where a company purchases, imports, or receives from commissioned processing battery products on which consumption tax has already been paid, and then uses those products to continuously manufacture other taxable battery products, the company may deduct the consumption tax already paid on the inputs. The deductible amount is determined based on the quantity actually used in production during the relevant period.

Similarly, taxable batteries produced and used internally for the continuous production of other taxable batteries are not subject to consumption tax at the point of internal transfer. However, if the batteries are used to manufacture non-taxable products or for other purposes, consumption tax becomes payable when they are transferred for such use.

EXPORT TREATMENT: NO CHANGE TO CONSUMPTION-TAX EXPORT RELIEF

Importantly, the new consumption-tax adjustment is mainly a domestic-market measure. It primarily applies at the following stages:

- Domestic production and sale;
- Commissioned processing;
- Importation into China; and
- Internal use outside the continuous production of taxable batteries.

For battery products that are exported, the existing consumption-tax refund or exemption treatment remains unchanged. In other words, the announcement does not impose an additional consumption-tax burden on qualifying battery exports.

A careful distinction should nevertheless be made between:

Consumption-tax export refund/exemption, which was not changed by this policy; and
VAT export rebates, which are governed by a separate policy.

BUSINESS IMPLICATIONS

The policy represents a shift from broad tax exemptions toward differentiated treatment based on technological maturity:

- Established technologies, particularly conventional lithium-ion batteries, will gradually move to the standard 4% consumption-tax rate;
- Emerging technologies, such as solid-state and sodium-ion batteries, will continue to receive tax support;
- Domestic manufacturers and importers will need to review pricing, product classifications, contracts, and tax-accounting systems;
- Export-oriented companies should separate the consumption-tax impact from the separate VAT export-rebate changes;
- Companies claiming exemptions must maintain national-standard compliance documents and valid CMA-accredited testing reports;
- Manufacturers should establish detailed records for tax-paid battery inputs to support consumption-tax deductions.

INVESTMENT IMPLICATIONS

The introduction of a consumption tax on lithium-ion batteries is a surprise. We think this will do nothing to help long term demand, which is unfortunate given the strategic role batteries will play in electrification of China's energy system. However, the increase needs to be seen in context. Assuming the 4% increase in consumption tax by September 2027, increase in price for battery packs will be <3%, while for ESS systems the overall increase in cost will be 1-2%, which is unlikely to have a material impact on demand. If the tax is not passed through however, it will impact the margins of battery makers, which are already wafer thin for some of the Tier 2 battery makers. Given the exuberance in the industry following triple digit ESS demand, the rationale for the new tax is likely aimed at curbing overcapacity within the industry and dampening down capex expansion plans. It is also designed as clear signal for battery makers in China to pivot into sodium-ion and solid state batteries which will be exempt from the tax. For China's leading player CATL, the new tax possibly explains why the stock has been so weak over the past month, despite strong industry fundamentals, which makes us think that the reaction to this announcement on Friday evening may not be significant. While this is not a positive for CATL, we think it will help curb over capacity efforts by Tier 2 players leading to greater industry consolidation longer term. It will also not impact CATL's exports or Na-ion/solid state batteries which CATL is at the forefront of the industry in commercializing. Overall, while this is not a positive headline for CATL, given the P/E valuation of 13x (A-share) and 18x (H-share), for a company growing revenues at 20-30% CAGR overt the next 5 years, the risk reward continues to look attractive. We rate CATL as Outperform.

BERNSTEIN TICKER TABLE

			16 Jul 2026		TTM		Reported EPS			Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
3750.HK (CATL)	O	HKD	621.00	770.00	40.1%	CNY	16.14	21.95	28.77	33.2	24.5	18.7
300750.CH (CATL)	O	CNY	366.20	800.00	12.0%	CNY	16.14	21.95	28.77	22.7	16.7	12.7
ASIAX			1,865.18									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Contemporary Amperex Technology Co Ltd

We value CATL (A) using the DCF approach using a WACC of 9.6% and a terminal growth rate of 3%. Our DCF model is based on annual free cash flow forecasts until 2050, plus a terminal value estimate to capture the continuing value of the company. Our price target is RMB800.

We value CATL (H) using the DCF approach using a WACC of 10.4% and a terminal growth rate of 3%. Our DCF model is based on annual free cash flow forecasts until 2050, plus a terminal value estimate to capture the continuing value of the company. Our price target is HKD770.

RISKS

Contemporary Amperex Technology Co Ltd

For CATL (A), key risks include: 1) overcapacity of battery manufacturing in China 2) geopolitical factors which restrict CATL market share and 3) increased competition from vertically integrated OEM’s.

For CATL (H), key downside risks include: 1) overcapacity of battery manufacturing in China 2) geopolitical factors which restrict CATL market share and 3) increased competition from vertically integrated OEM’s.

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Underperform	SELL	13.1%	13.6%

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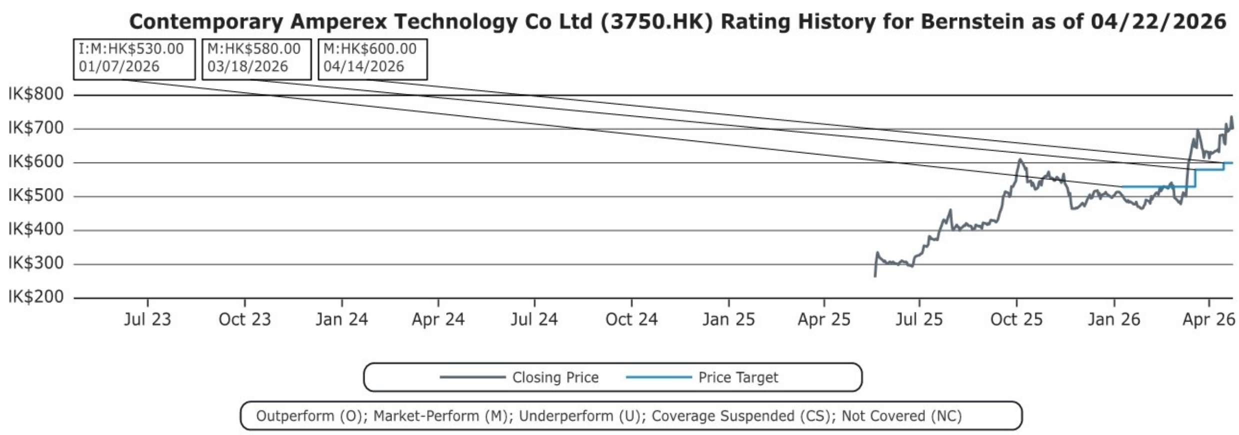

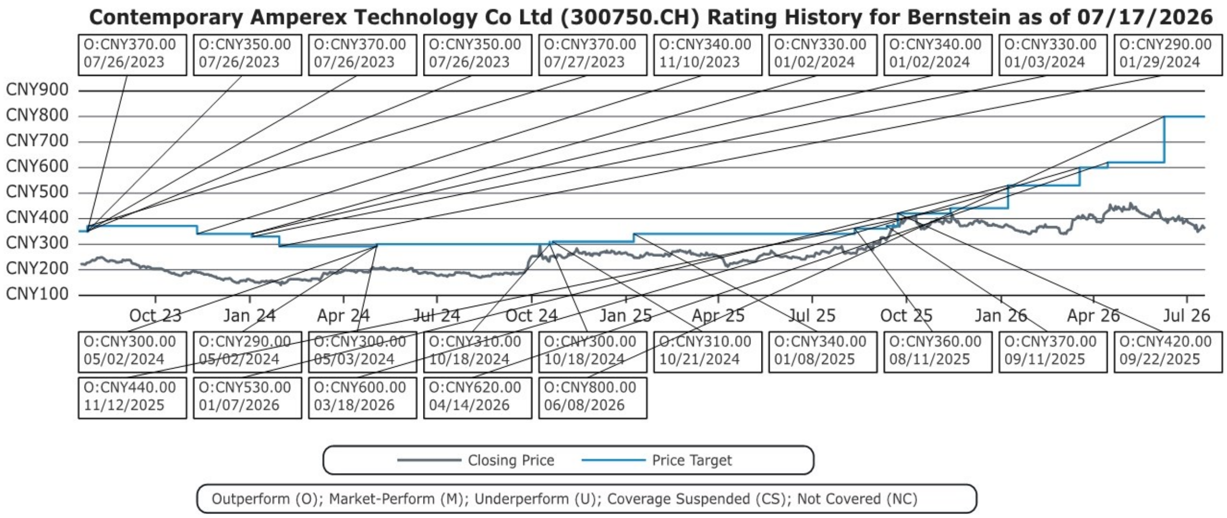

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